

almost never identical. The market's judgment on price is often unreliable. Unfortunately, the margin of the market's pricing errors is often not wide enough to justify the expense of trading on them. The intelligent investor must carefully evaluate the costs of trading and taxes before attempting to take advantage of any price discrepancy—and should never count on being able to sell for the exact price currently quoted in the market.

^{*} “Mean figure” refers to the simple, or arithmetic, average that Graham describes in the preceding sentence.

^a Three-fifths of special charges of 82 cents in 1970 deducted here.

^{*} Graham appears to be using “earnings on capital funds” in the traditional sense of return on book value—essentially, net income divided by the company's tangible net assets.

^{*} See pp. 299–301.

[†] Recent history—and a mountain of financial research—have shown that the market is unkindest to rapidly growing companies that suddenly report a fall in earnings. More moderate and stable growers, as ALCOA was in Graham's day or Anheuser-Busch and Colgate-Palmolive are in our time, tend to suffer somewhat milder stock declines if they report disappointing earnings. Great expectations lead to great disappointment if they are not met; a failure to meet moderate expectations leads to a much milder reaction. Thus, one of the biggest risks in owning growth stocks is not that their growth will stop, but merely that it will slow down. And in the long run, that is not merely a risk, but a virtual certainty.

¹ For more on how stock options can enrich corporate managers—but not necessarily outside shareholders—see the commentary on Chapter 19.

² All the above examples are taken directly from press releases issued by the companies themselves. For a brilliant satire on what daily life would be like if we all got to justify our behavior the same way companies adjust their reported earnings, see “My Pro Forma Life,” by Rob Walker, at <http://slate.msn.com/?id=2063953>. (“...a recent post-workout lunch of a 22-ounce, bone-in rib steak at Smith & Wollensky and three shots of bourbon is treated here as a nonrecurring expense. I'll never do that again!”)

³ In 2002, Qwest was one of 330 publicly-traded companies to restate past financial statements, an all-time record, according to Huron Consulting Group. All information on Qwest is taken from its financial filings with the U.S. Securities and Exchange Commission (annual report, Form 8K, and Form 10-K) found in the EDGAR database at www.sec.gov. No hindsight was required to detect the “change in accounting principle,” which Qwest fully disclosed at the